

Zenith Aerospace Corp.

5500 Runway Blvd, Huntsville, AL 35801 | Confidential Internal Document

BOARD RISK ESCALATION REPORT

Period Ending: July 14, 2025 | Report ID: RPT-CRIT-4971667

EXECUTIVE SUMMARY

The company has missed its quarterly revenue target by 11%, driven by deal slippage in the enterprise segment and competitive pricing pressure. EBITDA margin has contracted due to elevated headcount costs and unplanned infrastructure spending. The Board has requested a full operational review and cost rationalisation plan by end of quarter.

KEY PERFORMANCE INDICATORS

Metric	Current Period	Prior Period	Variance	Status
Revenue (\$M)	105.8	118.88	-11%	At Risk
EBITDA Margin (%)	18.6	24.0	-5.4 pts	Below Target
Customer Retention (%)	83.1	91.2	-8.1%	Below Target
New Customer Acquisition	141	349	-208	CRITICAL
Employee Satisfaction	64/100	80/100	-16 pts	Below Target

RECOMMENDED CORRECTIVE ACTIONS

- Accelerate the product roadmap for the top three revenue-generating SKUs, reallocating R&D; budget from lower-priority initiatives to reduce time-to-market by an estimated 3 months.
- Renegotiate payment terms with the top five suppliers, targeting net-60 terms to improve near-term working capital position by an estimated \$4–6M.
- Launch an emergency win-back campaign targeting churned customers from the past 12 months, with tailored pricing incentives pre-approved by the CFO.
- Conduct a zero-based budgeting exercise across all cost centres, with a minimum 10% reduction target for all non-essential operating expenditure in Q4.
- Brief the Board's Audit Committee on the financial restatement risk identified in Q2 and engage external legal counsel to assess exposure.

Prepared by: Rashid Al-Farsi, Chief Risk Officer

Approved by: _____ | Date: July 15, 2025

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